bestoasis

Recycling with the Best

Weekly Ship Recycling Report

18 November 2023 - 24 November 2023

Visit : www.best-oasis.com

Email: bol@bol.ae

Head Office: 3201, Saba Tower 1, Cluster E, Jumeirah Lake Towers, Dubai, U.A.E

Contact: +971 4575 4667

Highlights of the Week

The ship recycling activity for this week has continued to exhibit a sluggish pace, mirroring the trends observed in the preceding week. In the Indian market, there has been a consistent reflection of the previous week's trends, with prices remaining constant. However, it is worth noting that recyclers are currently presenting favorable offers. Bangladesh is still facing challenges related to LC, which are exacerbating the existing difficulties. Pakistan is currently facing a similar situation in terms of market conditions, with no significant changes observed. Turkiye has experienced minor increases, but they have not been of considerable magnitude.

In October 2023, the global crude steel production for the 71 countries that report to the WorldSteel reached a total of 150.0 million metric tons. This figure indicates a modest growth of 0.6 percent when compared to the corresponding period in October 2022. The output also experienced a 0.5 percent increase in comparison to the previous month, during which the global steel production furnaces produced 149.3 million metric tons of crude steel.

The recently established agreement on waste shipments between the European Council and Parliament will facilitate the responsible recycling of ships bearing the flag of the European Union (EU) outside the territories of both the EU and the Organisation for Economic Co-operation and Development (OECD). For instance, the export of plastic waste from the European Union to non OECD countries is strictly prohibited under the new legislation, unless those countries meet stringent environmental requirements. In addition, enhanced enforcement measures and novel provisions for waste tracking are included, alongside endeavors to foster collaboration in the fight against waste trafficking. Conversely, other recyclable waste will be exported from the EU to non-OECD countries that demonstrate their willingness to accept the waste and capable of managing it in a sustainable manner, in accordance with the new agreement.

Exchange Rates:

USD / INR ₹

This Week	: 83.37
Previous Week	: 83.27
Lost	: 0.10

USD / BDT ৳

This Week	: 110.25
Previous Week	: 110.71
Gained	: 0.46

USD / PKR Rs

This Week	: 282.63
Previous Week	: 286.72
Gained	: 4.09

USD / TRY ₺

This Week	: 28.87
Previous Week	: 28.71
Lost	: 0.16

India

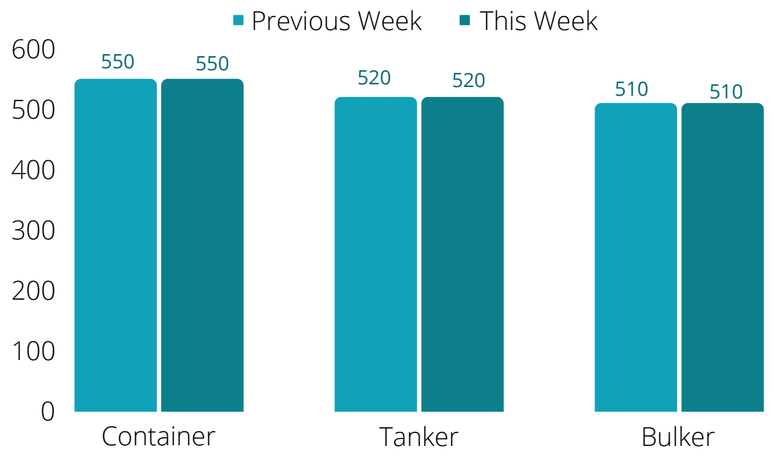
The current week's market conditions are unchanged, and recyclers continue to offer competitive prices.

- The market has maintained its range at the same level as seen in the past week. We can deduce that nothing fundamentally altered from the previous week.
- However, the recyclers in this region are providing competitive offers, positioning this location as a frontrunner in terms of pricing.
- A better comprehension can be obtained upon the resumption of the domestic steel market.
- Despite a feeble monsoon affecting the agricultural sector, rating agency ICRA anticipates that the Indian economy will expand by 7% in the second quarter, exceeding the central bank's forecast of a 6.5% increase. The agency cites improved industrial performance as the reason for the increase.

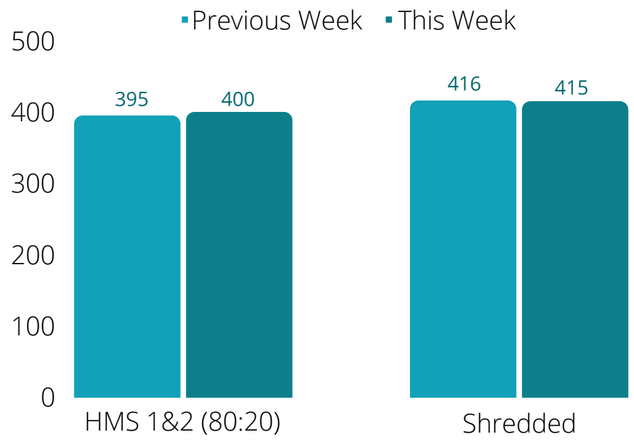
Beaching Dates

25 November to 30 November 2023
01 December to 02 December 2023
11 December to 19 December 2023

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

The market condition is unchanged, and LC difficulties continue to wreak misery in this area.

- The current state of affairs at this location remains unchanged from the previous week; a more comprehensive understanding can be obtained after the elections.
- The LC issues persist in dampening purchasers' enthusiasm and have been a significant concern for an extended period of time.
- There is still hope since there are a few possible buyers present. However, all recyclers are keeping an eye on the situation of their bankers for USD reserves, as year end is nearing and closing of the books has to be done, which may hamper their lending strategies.
- The World Bank and the government of Bangladesh have signed a loan agreement in excess of $1 billion to assist Bangladesh in achieving inclusive and resilient development.
- Despite a recent direction to cut rates, banks in Bangladesh continue to trade the US dollar at higher rates than those established by the Bangladesh Foreign Exchange Dealers Association (Bafeda) and the Association of Bankers, Bangladesh (ABB (ST: ABB)).

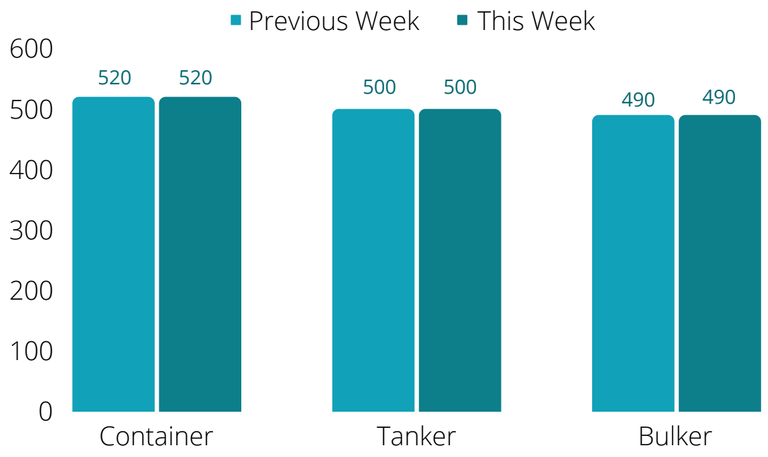
Beaching Dates

25 November to 28 November 2023

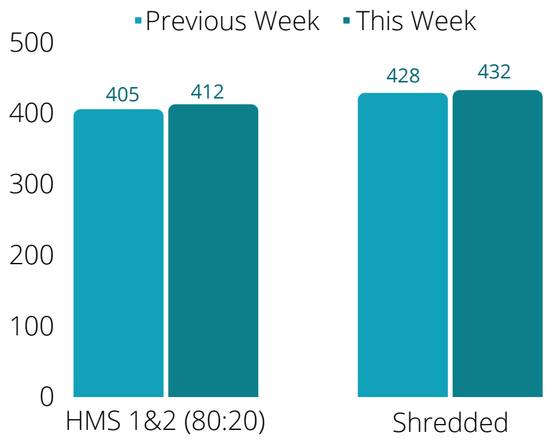
12 December to 15 December 2023

26 December to 29 December 2023

Price for Recycling Ships in Bangladesh



Price of HMS 1&2 (80:20) and Shredded

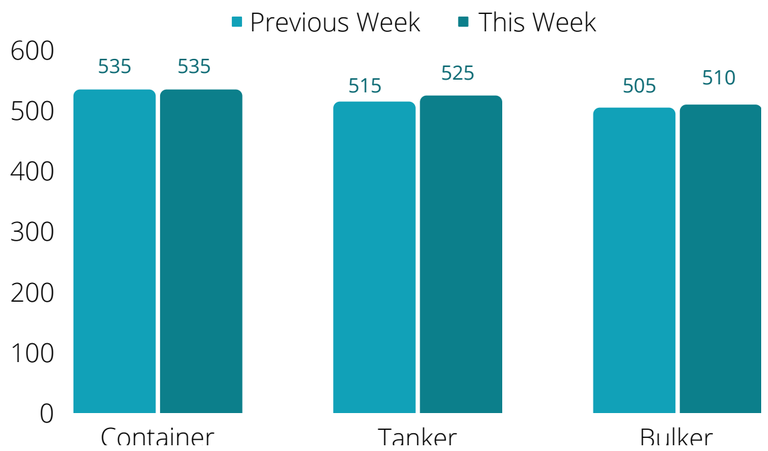


Pakistan

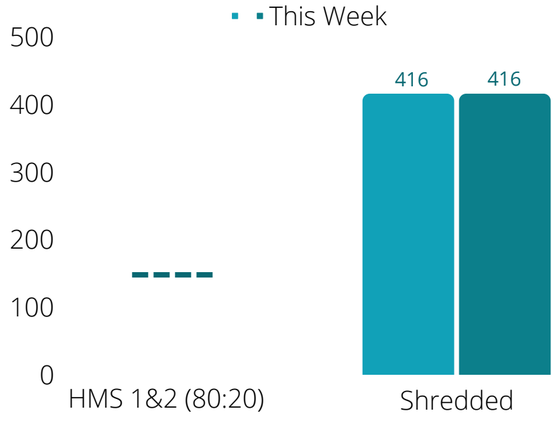
The current week's market conditions are quiet, identical to the previous week.

- There have been minimal changes observed since the previous week, with a relatively consistent and quiet environment.
- The value of Pakistan's bonds has reached a 15-month peak, driven by optimism regarding increased international financial assistance following the country's successful acquisition of the International Monetary Fund's (IMF) tranche. Furthermore, it is anticipated that the issue of the LC problem will be resolved as a result of these developments.
- The steel industry in Pakistan, which is currently facing a series of crises, has appealed to the State Bank of Pakistan (SBP) to consider reducing interest rates during the forthcoming Monetary Policy meeting. This request is made in an effort to address the industry's pressing existential challenges.

Price for Recycling Ships in Pakistan



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

Throughout the month

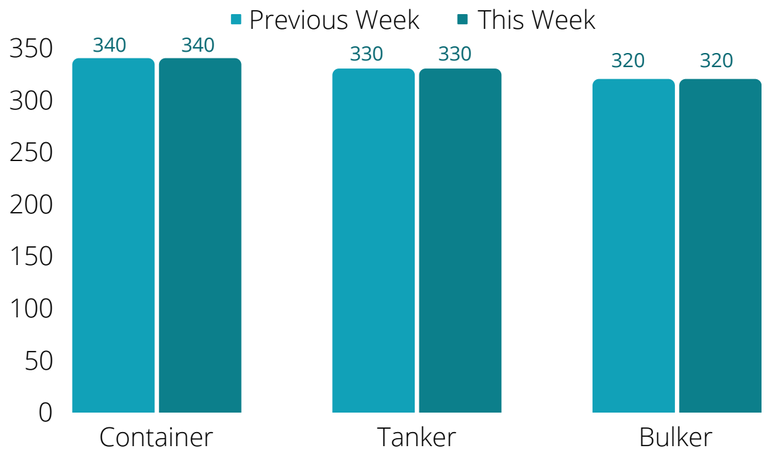
Türkiye

The local market has experienced a notable upturn, thereby instilling a sense of optimism regarding future prospects.

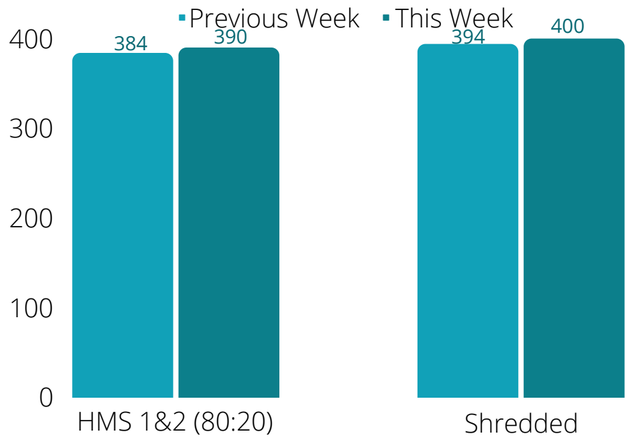
- The market has experienced a positive increase of 3 USD, however, it has not yet had a noticeable effect on vessel prices.

- In an effort to bring down double-digit inflation, the Turkish central bank reinstated another substantial interest rate increase. As a result of averting inflation from reaching an alarming 61.36% last month, the bank increased its policy rate by 5 percentage points to 40%, signifying its sixth consecutive significant interest rate rise.

Price for Recycling Ships in Türkiye



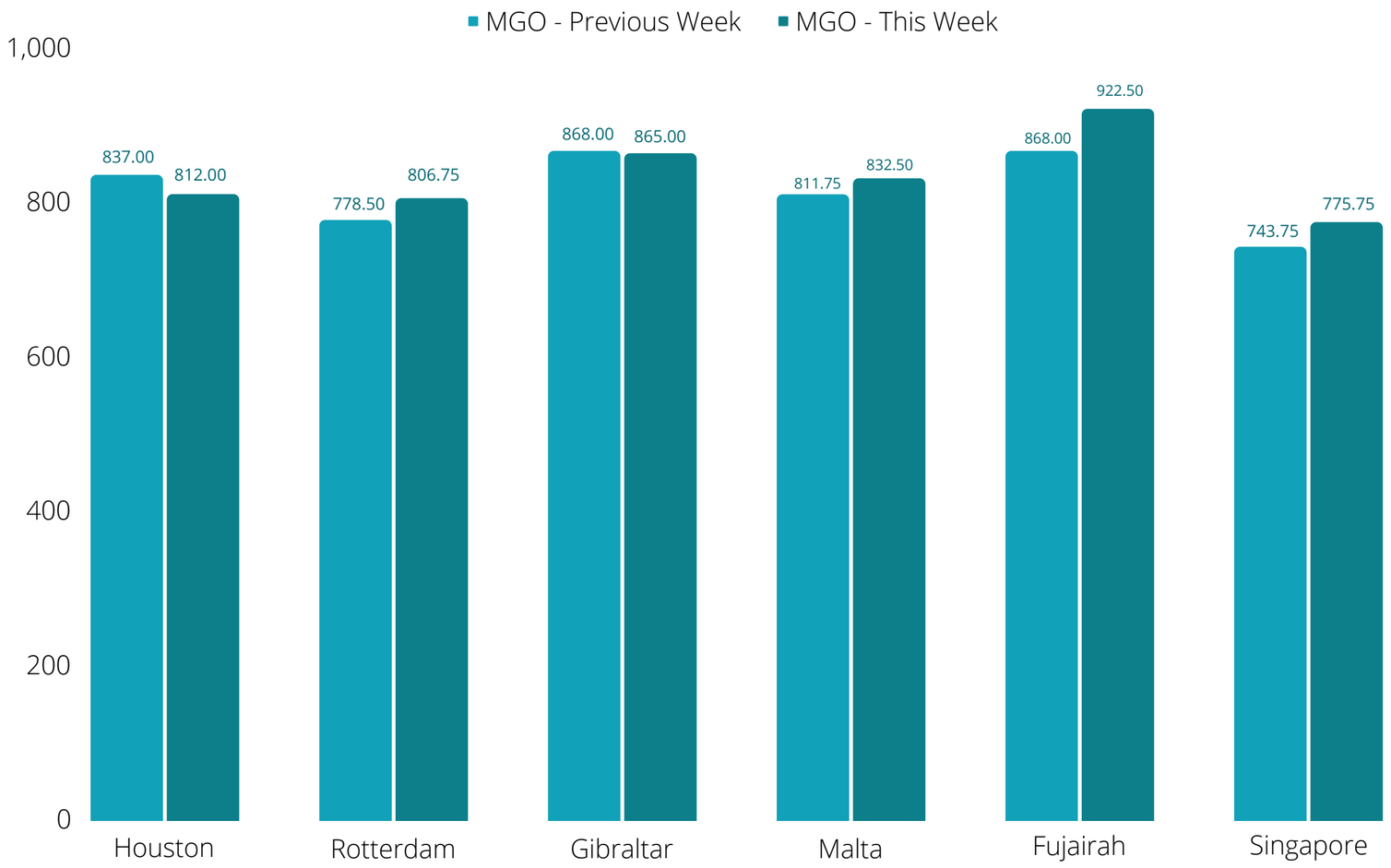
Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 81.58
Previous Week	: 77.45
Movement	: + 4.13

WTI Crude

This Week	: 76.62
Previous Week	: 73.01
Movement	: + 3.61

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
DEVA	BULKER	9214329	2000	CHINA	12,660	DELIVERED	ALANG, INDIA	480
DIAMOND WAY	BULKER	9074808	1995	JAPAN	9,016	DELIVERED	ALANG, INDIA	UNDISCLOSED
NEPTUNE STAR	BULKER	9136553	1996	JAPAN	5,471	DELIVERED	ALANG, INDIA	512
SILVER WIND	CONTAINER CARRIER	8630289	1986	JAPAN	1,011	DELIVERED	CHITTAGONG, BANGLADESH	515

Contact Us

Germany

Mr. Gerd Leopold
S&P Consultant

Phone: +49 417 188 0204
Mobile: +49 172 370 1021

Greece

Mr. Yiannis Kourkoulis
Vice President - Purchase

Phone: +30 210 0101 450
Mobile: +30 694 258 3977

Ms. Irini Mylona
Commerical Executive

Phone: +30 210 0101 450
Mobile: +30 694 484 3136

U.A.E.

Mr. Naren Sampath
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 55 836 9147

Mr. Asif Ali
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 58 645 0162

China

Capt. Steven Xu
Company Representative

Mobile: +86 136 6600 0719

Japan

Mr. T Ishii
Company Representative

Work: +81 354 522 405
Mobile: +81 901 536 1497

Disclaimer: While every care has been taken to ensure that the information in this publication is accurate, Best Oasis Limited can accept no responsibility for any error or omissions or any consequences arising therefrom. Figures are based on latest available information on various platforms, which is subject to subsequent revisions and corrections. Reproducing any material from this report without permission from Best Oasis Limited is strictly prohibited. The author of this Weekly Ship Recycling Report is Varsha Mishra. Any comments or viewpoints expressed are those of the author alone, not necessarily the Best Oasis Company.